Johnston-Lee-Harnett
Community Action, Incorporated

Report on Audit of Financial Statements

for the year ended June 30, 2024

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Independent Auditors' Report

To the Board of Directors of
Johnston-Lee-Harnett Community Action, Incorporated

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Johnston-Lee-Harnett Community Action, Incorporated, which comprise the statement of financial position as of June 30, 2024, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Johnston-Lee-Harnett Community Action, Incorporated as of June 30, 2024, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Johnston-Lee-Harnett Community Action, Incorporated and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Substantial Doubt About the Entity's Ability to Continue as a Going Concern

The accompanying financial statements have been prepared assuming that Johnston-Lee-Harnett Community Action, Incorporated will continue as a going concern. As discussed in Note 13 to the financial statements, Johnston-Lee-Harnett Community Action, Incorporated has suffered recurring losses from operations, has a net asset without donor restriction deficiency, and has stated that substantial doubt exists about Johnston-Lee-Harnett Community Action, Incorporated's ability to continue as a going concern. Management's evaluation of the events and conditions and management's plans regarding these matters are also described in Note 13. The financial statements do not include any adjustments that might result from the outcome of this uncertainty. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Johnston-Lee-Harnett Community Action, Incorporated's ability to continue as a going concern for one year after the date that the financial statements are issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Johnston-Lee-Harnett Community Action, Incorporated's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Johnston-Lee-Harnett Community Action, Incorporated's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The Schedule of Expenditures of Federal and State Awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* is presented for purposes of additional analysis and is not a required

part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Schedule of Expenditures of Federal and State awards is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated June 30, 2025 on our consideration of Johnston-Lee-Harnett Community Action, Incorporated's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Johnston-Lee-Harnett Community Action, Incorporated's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Johnston-Lee-Harnett Community Action, Incorporated's internal control over financial reporting and compliance.

HPC Company LLP

June 30, 2025

Johnston-Lee-Harnett Community Action, Incorporated
Statement of Financial Position
June 30, 2024

Assets		
Current assets:		
Cash	$	12,882
Government contracts and awards receivable		307,295
Other receivables		18,958
Total current assets		339,135
Noncurrent assets:		
Restricted cash for long-term purposes		36,770
Property and equipment, net		1,729,302
Right-of-use assets, net		537,516
Deposits		8,052
Total noncurrent assets		2,311,640
Total assets	$	2,650,775
Liabilities and Net Assets		
Current liabilities:		
Current maturities of operating leases	$	141,130
Current maturities of long-term debt		28,995
Line of credit		150,000
Accounts payable		348,419
Due to grantor		297
Accrued liabilities:		
Vacation		71,204
Payroll taxes and withholdings		169,184
Interest		7,591
Advances on grants		82,206
Total current liabilities		999,026
Noncurrent liabilities:		
Operating leases, excluding current maturities		396,386
Long-term debt, excluding current maturities		1,233,109
Total noncurrent liabilities		1,629,495
Total liabilities		2,628,521
Net assets (deficit):		
Without donor restrictions		(459,528)
With donor restrictions		481,782
Total net assets		22,254
	$	2,650,775

The accompanying notes are an integral
part of these financial statements.

Johnston-Lee-Harnett Community Action, Incorporated
Statement of Activities
for the year ended June 30, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
Revenues, support, and gains:			
Government contracts and awards:			
Federal	$ 9,540,044	$ 368,408	$ 9,908,452
State	317,554	23,791	341,345
Contributions of cash and other financial assets	22,726	-	22,726
Contributions of nonfinancial assets	1,470,649	-	1,470,649
Contract services	146,511	-	146,511
Rental income	49,345	-	49,345
Interest income	59	-	59
Other	9,863	-	9,863
Total	11,556,751	392,199	11,948,950
Net assets released from restrictions	501,530	(501,530)	-
Total revenues, support, and gains	12,058,281	(109,331)	11,948,950
Expenses:			
Programs:			
Early Childhood Services	8,496,220	-	8,496,220
Housing Repairs and Maintenance	1,444,074	-	1,444,074
Community Services Block Grant	707,826	-	707,826
Other programs	726,199	-	726,199
Total programs	11,374,319	-	11,374,319
Management and general	1,081,578	-	1,081,578
Total expenses	12,455,897	-	12,455,897
Changes in net assets	(397,616)	(109,331)	(506,947)
Net assets (deficit) at beginning of year	(61,912)	591,113	529,201
Net assets (deficit) at end of year	$ (459,528)	$ 481,782	$ 22,254

The accompanying notes are an integral
part of these financial statements.

Johnston-Lee-Harnett Community Action, Incorporated
Statement of Functional Expenses
for the year ended June 30, 2024

	Programs						
	Early Childhood Services	Housing Repairs and Maintenance	Community Services Block Grant	Other Programs	Total Programs	Management and General	Total
Wages	$ 4,211,627	$ 298,837	$ 441,517	$ 82,975	$ 5,034,956	$ 588,686	$ 5,623,642
Employee benefits	955,557	71,107	91,970	12,829	1,131,463	117,731	1,249,194
Payroll taxes	316,056	22,427	33,134	6,226	377,843	43,006	420,849
Communications costs	75,466	3,440	14,337	15,591	108,834	39,471	148,305
Contractual	-	360,960	3,451	100,124	464,535	47,378	511,913
Depreciation and amortization	94,454	105	-	1,325	95,884	71,109	166,993
Fees	11,857	60	-	998	12,915	2,825	15,740
Food and support	269,607	-	-	51,179	320,786	-	320,786
Health and safety	-	109,649	-	-	109,649	-	109,649
Contributed goods and services	37,500	-	-	-	37,500	-	37,500
Contributed space	1,433,149	-	-	-	1,433,149	-	1,433,149
Insurance	163,711	19,203	16,269	2,759	201,942	25,816	227,758
Interest	-	-	-	-	-	51,952	51,952
Maintenance, repair and utilities	370,910	10,621	15,959	49,131	446,621	46,366	492,987
Materials and supplies	86,323	325,278	-	101,775	513,376	1,039	514,415
Meetings and conferences	300	-	440	500	1,240	7,069	8,309
Memberships and subscriptions	49,248	-	915	3,541	53,704	6,080	59,784
Office supplies	9,042	2,289	6,144	6,210	23,685	747	24,432
Participant costs	4,320	166,976	49,297	210,430	431,023	36	431,059
Professional services	29,222	48	-	2,061	31,331	360	31,691
Rent	250,621	-	2,602	62,309	315,532	-	315,532
Specialized services	8,245	979	1,918	982	12,124	2,008	14,132
Training and education	43,412	31,000	19,269	35	93,716	9,579	103,295
Travel	54,308	4,842	10,168	11,277	80,595	13,649	94,244
Vehicle expenses	10,366	8,252	-	-	18,618	626	19,244
Other	10,919	8,001	436	3,942	23,298	6,045	29,343
Total	$ 8,496,220	$ 1,444,074	$ 707,826	$ 726,199	$ 11,374,319	$ 1,081,578	$ 12,455,897

The accompanying notes are an integral
part of these financial statements.

Johnston-Lee-Harnett Community Action, Incorporated
Statement of Cash Flows
for the year ended June 30, 2024

Cash flows from operating activities:		
Changes in net assets	$	(506,947)
Adjustments to reconcile changes in net assets to net cash used in operating activities:		
Depreciation and amortization expense		166,993
Right-of-use assets, net		150,598
Changes in assets and liabilities:		
(Increase) decrease in assets:		
Government contracts and awards receivable		14,186
Other receivables		6,305
Deposit		2,250
Increase (decrease) in liabilities:		
Accounts payable		93,161
Due to grantor		(71,359)
Accrued liabilities		64,211
Advances on grants		60,272
Operating lease liability		(150,598)
Net cash used in operating activities		(170,928)
Cash flows from financing activities:		
Cash restricted for long-term purposes		(7,170)
Proceeds from line of credit, net		107,761
Principal payments of long-term debt		(28,048)
Net cash provided by financing activities		72,543
Net decrease in cash		(98,385)
Cash, beginning of year		111,267
Cash, end of year	$	12,882
Supplemental disclosure of cash flows information:		
Cash paid during the year for interest	$	51,459
Supplemental disclosure of noncash investing and financing activities:		
Right-of-use assets and operating lease liabilities entered into during the year	$	256,145

The accompanying notes are an integral part of these financial statements.

1. ORGANIZATION

Johnston-Lee-Harnett Community Action, Incorporated (the Organization) is a non-profit, tax-exempt entity incorporated in April 1966 under the laws of the State of North Carolina. Its purpose is to provide resources to help permanently improve the lives of the disadvantaged. The Organization strives to inspire people to be empowered through opportunities that support education, self-sufficiency, and a willingness to give back to society. The Organization is dedicated to Helping People, Changing Lives. Areas served are Johnston, Lee, and Harnett counties.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The financial statements of the Organization are prepared on the accrual basis of accounting.

Cash

Federal and state funds are kept in separate bank accounts at various North Carolina regional banks. At June 30, 2024, there were no cash deposits in excess of federally insured amounts.

Receivables

All receivables are stated at the amount management expects to collect from outstanding balances. Based on experience, management believes that they are fully collectible. Therefore, no allowance for credit losses has been recorded. In the event that an outstanding balance could not be collected, it would be written down with a charge against bad debt loss and a credit to the receivables balance. Past due status is determined based on contractual terms.

Property and Equipment

It is the Organization's policy to capitalize property and equipment with an original value of over $5,000 and an estimated useful life of more than one year. Purchased property and equipment are recorded at cost.

Depreciation and amortization are provided using the straight-line method over the estimated useful life of the related asset. The following useful lives are used in determining depreciation and amortization:

	Estimated Useful Life
Buildings and improvements	20-27 Years
Vehicles	5-7 Years
Furniture and equipment	5-20 Years

Expenditures for repairs and maintenance are charged to expense as incurred. The cost of major renewals and betterments are capitalized and depreciated and amortized over their estimated useful lives. Upon disposition of property and equipment, the related asset and accumulated depreciation and amortization accounts are removed, and any gain or loss is reflected in the statement of activities for the period. Depreciation and amortization expense for the year ended June 30, 2024 was $166,993.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Property and Equipment (Continued)

Donated property and equipment are recorded as revenue at their estimated fair value as of the date of the contribution. If donors stipulate how long the assets must be used, the contributions are recorded as restricted support. In the absence of such stipulations, contributions of property and equipment are recorded as support without donor restrictions.

Certain property and equipment with a carrying value of $70,976 was acquired with funds received under grant contract with governmental agencies. This property is used in connection with the entity's various programs. If such programs were to terminate, arrangements would need to be made with the grantor to dispose of the equipment. Equipment cannot be sold or traded without permission from the grantor.

Net Assets

Net assets, revenues, support, and gains are classified based on the existence or absence of donor or grantor-imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net Assets Without Donor Restrictions – Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.

Net Assets With Donor Restrictions – Net assets subject to donor or grantor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

Revenue Recognition

Government contracts and awards represent reimbursement of costs incurred in direct support of charitable programs. Such revenue is recognized when the direct costs are incurred. Payments received in advance are deferred to the applicable period in which the related services are performed or expenditures are incurred. In addition, government contracts and awards normally provide for the recovery of indirect costs supporting the program effort. Indirect cost recovery is recorded at rates established in advance by the Organization through negotiations with the United States Government.

Contributions received that are designated for future periods or restricted by the donor are reported as restricted support and increase the respective class of net assets. Contributions received with restrictions that are met in the same reporting period are reported as without donor restrictions support and increase without donor restrictions net assets.

Contract services refer to revenues earned from competitive bids awarded by local governments to provide various program related services. The related costs are shown as an element of program services.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Donated Services

The Organization recognizes contributions of services if such services (a) create or enhance non-financial assets or (b) require specialized skills and are provided by individuals possessing those skills and would typically need to be purchased if not contributed. Donated services are for the Organization's early childhood programs, all of which relates to the efforts of teachers who were paid by a local school system in addition to professional mental health and medical professionals.

Other donated services have not been reflected in the accompanying financial statements since they do not meet the criteria for recognition under accounting principles generally accepted in the United States of America. Nevertheless, a substantial number of volunteers have donated significant amounts of their time, principally as assistants in the early childhood programs. Management estimates the value of such services at $22,857 for the year ended June 30, 2024.

Income Taxes

The Organization is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code. Therefore, no provision for income taxes has been made in the accompanying financial statements.

Functional Allocation of Expenses

The costs of providing the program services and other services have been summarized on a functional basis in the statement of activities. The statement of functional expenses presents the natural classification detail of expenses by function. Accordingly, certain costs, including wages, payroll taxes, and employee benefits, have been allocated between the program and supporting services benefited based on estimates of time and effort.

The Organization receives the majority of its support through recurring awards or competitive bidding. Accordingly, fundraising costs are not material and as such have not been separately presented in the financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America includes the use of estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Recently Adopted Accounting Standards

In June 2016, the FASB issued guidance (FASB ASC 326), *Financial Instruments – Credit Losses,* which significantly changed how entities measure credit losses for most financial assets and certain other instruments that are not measured at fair value through net income. The most significant change in the standard is a shift from the incurred loss model to the expected loss model.

Under the standard, disclosures are required to provide users of the financial statements with useful information in analyzing an entity's exposure to credit risk and the measurement of credit losses.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Recently Adopted Accounting Standards (Continued)

The Organization adopted the standard effective July 1, 2023. Financial assets held by the Organization that are subject to the guidance in FASB ASC 326 were accounts receivable. The impact of the adoption was not considered material to the financial statements and primarily resulted in new and/or enhanced disclosures only.

Subsequent Events

The Organization has evaluated events and transactions that occurred between June 30, 2024 and June 30, 2025, which is the date the financial statements were available to be issued, for possible recognition or disclosure in the financial statements.

3. LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, comprise of the following as of June 30:

Cash	$ 49,652
Receivables	326,253
Less amounts not available for general expenditures within one year:	
Restricted cash	(36,770)
Current maturities of long-term debt	(28,995)
Line of credit	(150,000)
Total financial assets available to meet general expenditures within one year	$ 160,140

As part of the Organization's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. The Organization is also supported by donor restricted contributions. Because a donor or grantor's restriction requires resources to be used in a particular manner or in a future period, the Organization must maintain sufficient resources to meet those responsibilities to its donor or grantor. Thus, financial assets may not be available for general expenditures within one year.

4. PROPERTY AND EQUIPMENT

Property and equipment consist of the following as of June 30:

Land	$ 165,035
Buildings and improvements	3,115,063
Vehicles	1,451,782
Furniture and equipment	502,103
	5,233,983
Less accumulated depreciation	(3,504,681)
Net property and equipment	$ 1,729,302

5. LINE OF CREDIT

In December 2023, the Organization entered into an unsecured operating line of credit agreement with a bank. Maximum borrowings under the agreement are $150,000. There were no available borrowings as of June 30, 2024. Outstanding borrowings accrue interest at prime rate plus 1% (9.50 % at June 30, 2024) with a 5.00% interest rate floor and a 18.00% interest rate ceiling. For the year ended June 30, 2024, the Organization recognized interest expense on the line of credit in the amount of $7,916. The Organization initially opted to renew the line of credit under substantially the same terms and with a maturity date of December 25, 2024.

Subsequent to the year ended, the Organization opted to renew the line of credit under substantially the same terms and with a new maturity date of December 25, 2025.

6. LOANS

The Organization has a loan financed through a government agency with a face value of $1,558,695 and matures on April 26, 2052. Amounts borrowed under this agreement bear interest at a rate of 3.375%. The loan requires a reserve account to be funded to minimum annual reserves ($36,756 as of July 1, 2024) until $71,591 is accumulated. At June 30, 2024, the Organization held $36,770 in restricted cash under this loan provision. For the year ended June 30, 2024, the Organization recognized interest expense in the amount of $44,199. The loan is secured by a deed of trust on the land and building at the Organization's headquarters. The loan includes a graduation clause, in which the Organization may be asked to pay the debt in full if it appears they can obtain other financing at reasonable terms. At June 30, 2024, the carrying amount of the land and building at the Organization's headquarters totaled $827,272.

Future maturities of long-term debt are as follows:

Year ending June 30,		
2025	$	28,995
2026		29,974
2027		30,985
2028		32,031
2029		33,112
Thereafter		1,107,007
Total	$	1,262,104

Subsequent to the year ended, the Organization obtained an interest-free 90-day loan from a state-wide nonprofit of $69,517 that matures September 12, 2025.

7. OPERATING LEASES AND LEASE LIABILITIES

The Organization leases facilities and land for its early childhood programs under non-cancelable operating lease agreements expiring through April 2029. Total rental expense under these leases was $315,532 for the year ended June 30, 2024.

The Organization has recognized both a right-of-use asset and a corresponding lease liability on the statement of financial position for its executed operating leases. The assets and liabilities are amortized over the life of the lease. The operating lease liability is presented net of a discount on future cash flows under the lease terms at the incremental borrowing rates of 7.25% and 9.5%. Amortization expense on lease liabilities and assets for the year ended June 30, 2024 is $105,547.

7. OPERATING LEASES AND LEASE LIABILITIES (Continued)

The following is a schedule of minimum future rental payments under non-cancelable operating leases as of June 30, 2024:

Year ending June 30,		
2025	$	178,920
2026		178,920
2027		166,420
2028		62,355
2029		36,000
Undiscounted lease liability		622,615
Less present value discount		(85,099)
Net lease liability		537,516
Less current maturities		(141,130)
	$	396,386

The Organization leases two properties to low-income individuals on a month-to-month basis. Additionally, the Organization also leases office and parking lot space to three not-for-profit organizations based out of Lee County on an annual basis and charges various programs for space utilized during the year. Total rental income for the year ended June 30, 2024 was $49,345.

Subsequent to the year ended, the Organization sold one of the properties it leases to low-income individuals for $126,000 and entered into an agreement to sell another property the Organization leases to low-income individuals for $67,500.

8. NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions of $138,913 are available for early childhood programs and $342,869 is available as donated property to be utilized to assist homeless and low-income individuals living in Lee County at June 30, 2024.

9. CONTRIBUTIONS OF NONFINACIAL ASSETS

Donated goods, capitalized assets, professional services, and use of classroom space are recorded at estimated fair market value on the statement of activities as contributions of nonfinancial assets. Nonfinancial asset contributions for the year ended June 30, 2024 are comprised of the following:

Classroom space	$	1,433,149
Professional services		37,500
Total	$	1,470,649

10. EMPLOYEE BENEFIT PLAN

The Organization has a defined contribution pension plan under Internal Revenue Code section 403(b). All employees who work at least 20 hours per week or 1,000 hours annually are eligible to participate in the Plan after completing a three-month service requirement. The Plan uses a matching formula in which it contributes a discretionary percentage of the first 5% of employee deferrals. Employees are 100% vested with respect to employer contributions after completing two years of service. The Organization's contributions for the year ended June 30, 2024 were $148,392.

11. COMMITMENTS AND CONTINGENCIES

The Organization receives significant financial assistance from governmental entities. These contracts and awards normally provide for the recovery of direct and indirect costs. Entitlement to the recovery of the applicable direct and indirect costs is generally conditioned upon compliance with the terms and conditions of the grant agreements and applicable regulations, including the expenditure of the resources for eligible purposes. Substantially all awards and the Organization's indirect cost rate are subject to financial and compliance reviews and audits by grantors. In management's opinion, the likelihood of an adverse material outcome upon its financial position from those reviews and audits is remote.

12. CONCENTRATIONS

The Organization received 86% of total revenues from federal and state governmental entities for the year ended June 30, 2024. A significant reduction in this level of support could have significant impact on the Organization's programs and activities. In addition, 94% of receivables at June 30, 2024 were due from federal and state governmental entities. At June 30, 2024, 13% of payables were due to one vendor.

13. SUBSTANTIAL DOUBT ABOUT THE ORGANIZATION'S ABILITY TO CONTINUE AS A GOING CONCERN

The Organization's board of directors and management identified conditions as of June 30, 2024 that raised substantial doubt about the Organization's ability to continue as a going concern.

Significant inflation and the costs of living are not fully mitigated by federal awards, which comprise most of the Organization's funding. Additionally, several federal agencies were not processing reimbursement requests timely, causing a shortage of cash available and requiring the agency to increase its debt. The federal programs are becoming increasingly more expensive to operate without additional funding or a decrease in the expected community impact.

Since the end of 2024, the Board has taken aggressive and decisive actions to improve the financial condition of the Organization, specifically:

- Proposed a new committee with the Board for the HeadStart program,
- Proposed a new position to assist with financial reporting and compliance,
- Increasing fundraising efforts through events and corporate and local government grants,
- Authorized the sale of properties for $193,500,
- Seeking opportunities through debt acquisitions to temporarily improve cash position, and
- Requesting emergency funding from an affiliated organization (NCCAA).

Subsequent to the year end, management created the new committee on the Board of Directors, hired an individual for the new financial reporting and compliance position, received new unrestricted grants for subsequent fiscal years, sold properties for $193,500, and obtained an interest-free 90-day loan from the NCCAA of $69,517.

The Board of Directors and management continue to evaluate options to increase revenues and cash available.

MPCompany LLP
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Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

Independent Auditors' Report

Board of Directors
Johnston-Lee-Harnett Community Action, Incorporated

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Johnston-Lee-Harnett Community Action, Incorporated, which comprise the statement of financial position as of June 30, 2024, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements, and have issued our report thereon dated June 30, 2025.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Johnston-Lee-Harnett Community Action, Incorporated's internal control over financial reporting (internal control) as a basis for designing procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Johnston-Lee-Harnett Community Action, Incorporated's internal control. Accordingly, we do not express an opinion on the effectiveness of Johnston-Lee-Harnett Community Action, Incorporated's internal control.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies, and therefore, material weaknesses or significant deficiencies may exist that have not been identified. However, as described in the accompanying schedule of findings and questioned costs, we did identify a deficiency in internal control over financial reporting that we consider to be a material weakness.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. The results of our tests disclosed no instances of internal control deficiencies that are required to be reported under *Government Auditing Standards*.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Johnston-Lee-Harnett Community Action, Incorporated's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Johnston-Lee-Harnett Community Action, Incorporated's Response to Findings

Johnston-Lee-Harnett Community Action, Incorporated's response to the findings identified in our audit is described in the accompanying schedule of findings and questioned. Johnston-Lee-Harnett Community Action, Incorporated's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance, and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

June 30, 2025

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Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance in Accordance with the Uniform Guidance

Independent Auditors' Report

Board of Directors
Johnston-Lee-Harnett Community Action, Incorporated

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Johnston-Lee-Harnett Community Action, Incorporated's compliance with the types of compliance requirements identified as subject to audit in the OMB Compliance Supplement that could have a direct and material effect on each of Johnston-Lee-Harnett Community Action, Incorporated's major federal programs for the year ended June 30, 2024. Johnston-Lee-Harnett Community Action, Incorporated's major federal programs are identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs.

In our opinion, Johnston-Lee-Harnett Community Action, Incorporated complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Johnston-Lee-Harnett Community Action, Incorporated and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Johnston-Lee-Harnett Community Action, Incorporated's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of

laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Johnston-Lee-Harnett Community Action, Incorporated's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Johnston-Lee-Harnett Community Action, Incorporated's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Johnston-Lee-Harnett Community Action, Incorporated's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Johnston-Lee-Harnett Community Action, Incorporated's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Johnston-Lee-Harnett Community Action, Incorporated's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Johnston-Lee-Harnett Community Action, Incorporated's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed an instance of noncompliance which is required to be reported in accordance with the Uniform Guidance and which is described in the accompanying schedule of findings and questioned costs as item 2024-001. Our opinion on each major federal program is not modified with respect to these matters. *Government Auditing Standards* requires the auditor to perform limited procedures on Johnston-Lee-Harnett Community Action, Incorporated's response to the noncompliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. Johnston-Lee-Harnett Community Action, Incorporated's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant

deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we did identify a certain deficiency in internal control over compliance that we consider to be a material weakness.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiency in internal control over compliance described in the accompanying schedule of findings and questioned costs as item 2024-001 to be a material weakness.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on Johnston-Lee-Harnett Community Action, Incorporated's response to the internal control over compliance findings identified in our compliance audit described in the accompanying schedule of findings and questioned costs. Johnston-Lee-Harnett Community Action, Incorporated's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

June 30, 2025

Johnston-Lee-Harnett Community Action, Incorporated
Schedule of Findings and Questioned Costs
for the year ended June 30, 2024

Section I. Summary of Auditors' Results

Financial Statements

Type of auditors' report issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified

Internal control over financial reporting:		
Are any material weaknesses identified?	____Yes	__X__No
Are any significant deficiencies identified?	____Yes	__X__None reported
Is any noncompliance material to financial statements noted?	____Yes	__X__No

Federal Awards

Internal control over major federal programs:

Are any material weaknesses identified?	__X__Yes	____No
Are any significant deficiencies identified?	____Yes	__X__None reported
Type of auditors' report issued on compliance for major federal programs:	Unmodified	
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?	__X__Yes	____No

Identification of major federal programs:

CFDA Number	Name of federal program or cluster
93.600	Full year Head Start – Part Day
93.600	COVID-19 Full year Head Start – Part Day
93.569	477 Cluster – Community Services Block Grant

Dollar threshold used to distinguish between type A and type B programs:	$750,000	
Auditee qualified as a low-risk auditee?	__X__Yes	____No

Section II. Financial Statement Findings

None.

Section III. Federal Awards Findings

Finding 2024 – 001

Assistance Listing: 93.600 – HeadStart
Award Number: 04CH011698
Compliance Requirement: Allowable Costs/Cost Principles

Type of Finding: Material weakness in internal controls over compliance.

Criteria: 45 CFR Section §75.303 states the non-Federal entity must evaluate and monitor the entity's compliance with statutes, regulations, and the terms and conditions of Federal awards.

Condition and Context: The organization did not have policies and procedures in place to provide reasonable assurance it is managing the Federal award in compliance with the applicable statutes, regulations, and terms and conditions.

Questioned Costs: $102,145

Cause: The Association did not have a process in place to identify and communicate spending in excess of the approved budget and costs that would be subject to prior written approval requirements.

Effect: Direct costs were charged to the grant award that may not have been allowable. There is the possibility that such costs would have to be refunded to the awarding agency if such determination is made. Additionally, significant costs were incurred throughout the year for other costs, such as staff bonuses and food purchases, that led to program incurring more costs than funding available.

Recommendation: We recommend management implement procedures to ensure that financial information is appropriately communicated to management and those in charge of governance and identify expected purchases that may require prior written approval from the federal awarding agency.

Responsible Official's Response: The fiscal policies and procedures will be revised to include clear guidelines for effective communication with the governing body, ensuring that anticipated purchases requiring prior written approval from federal awarding agencies are properly identified and addressed.

Johnston-Lee-Harnett Community Action, Inc.

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Summary Schedule of Prior Audit Findings
for the year ended June 30, 2024

None noted.

JOHNSTON-LEE-HARNETT Community Action
HELPING PEOPLE. CHANGING LIVES.

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Corrective Action Plan
for the year ended June 30, 2024

Financial Statement Findings

None.

Federal Award Findings and Questioned Costs

Audit Finding Reference: 2024-001 HeadStart Noncompliance

Type of Finding: Internal controls over compliance

Contact Person: Lakisha Alston, Fiscal Director.

Corrective Action: The Fiscal Policies and Procedures will be followed. Any expenses over $5,000 associated with the upkeep of facilities will be reviewed by the Head Start Advisory Committee, approved by the Finance Committee, Executive Committee and/or Board of Directors.

Any large facility issues or concerns will be reported by the Head Start Director to the Head Start Advisory Committee along with the source of the issue and any cost associated with the repairs. Reporting will be consistent even if the repair qualifies for reimbursement by the State of North Carolina.

Proposed Completion Date: June 2025

Johnston-Lee-Harnett Community Action, Incorporated
Schedule of Expenditures of Federal and State Awards
for the year ended June 30, 2024

Federal Grantor / Pass-through Grantor / Program or Cluster Title	Assistance Listing Number	Pass-through entity identifying Number	Expenditures
U. S. Department of Health and Human Services			
Direct Programs:			
Full year Head Start - Part Day	93.600	UNKNOWN	$ 7,092,921
Passed through NC Department of Health and Human Services/Office of Economic Opportunity:			
Community Services Block Grant	93.569	2301NCCOSR	784,208
Passed through NC Department of Health and Human Services/NC Department of Environmental Quality:			
Weatherization Assistance for Low-Income Persons	93.568	2301NCLIEA / 2401NCLIEA	630,469
COVID-19 - Weatherization Assistance for Low-Income Persons	93.568	2101NCLWC6	145,844
Heating Appliance Repair and Replacement Program	93.568	2301NCLIEA / 2401NCLIEA	390,869
			1,167,182
U. S. Department of Agriculture			
Passed through NC Department of Health and Human Services:			
Child and Adult Care Food Program	10.558	UNKNOWN	368,408
U. S. Department of Housing & Urban Development			
Passed through North Carolina Housing Finance Agency:			
HUD Emergency Solutions Grant	14.231	E23DC37-001	268,861
Passed through NC Housing Coalition:			
SSO Program	14.267	UNKNOWN	50,830
			319,691
Federal Emergency Management Agency			
Direct Programs:			
Emergency Food and Shelter Program	97.024	39-6436-00 / 40-6436-00	81,163
COVID-19 - Emergency Food and Shelter Program	97.024	ARPAR-6420-00 / CARES-6420-00	992
			82,155

The accompanying notes are an integral part of this schedule.

Johnston-Lee-Harnett Community Action, Incorporated
Schedule of Expenditures of Federal and State Awards
for the year ended June 30, 2023

U. S. Department of Energy				
Passed through NC Department of Environmental Quality:				
Weatherization Assistance for Low-Income Persons	81.042	DE-EE0009920		27,182
U. S. Department of Treasury				
Passed through NC Department of Health and Human Services:				
State Fiscal Recovery Funds	21.027	SLFRP0129		66,710
Total expenditures of federal awards			$	9,908,457
State of North Carolina Grant Program				
Passed through North Carolina Housing Finance Agency:				
Urgent Repair Program	N/A	UNKNOWN	$	83,273
Passed through NC Department of Health and Human Services, Public Health Division				
NC - ARPAR Lead-Based Paint Remediation	N/A	UNKNOWN		102,145
Passed through NC Housing Coalition:				
Safe at Home	N/A	UNKNOWN		80,726
Day 1 Family Fund	N/A	UNKNOWN		42,085
Total expenditures of state awards				308,229
Total expenditures of federal and state awards			$	10,216,686

The accompanying notes are an integral part of this schedule.

1. BASIS OF PRESENTATION

The accompanying Schedule of Expenditures of Federal and State Awards (the "Schedule") includes the federal and state awards activity of Johnston-Lee-Harnett Community Action, Incorporated under programs of the federal and state governments for the year ended June 30, 2024. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of Johnston-Lee-Harnett Community Action, Incorporated, it is not intended to and does not present the financial position, changes in net assets or cash flows of Johnston-Lee-Harnett Community Action, Incorporated.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures reported on the Schedule are reported on the modified-cash basis of accounting. The modified-cash basis used by management differs in many respects from accounting principles generally accepted in the United States of America as detailed below:

(a) the acquisition of property and equipment is shown as an expense, which means that depreciation expense is never shown as such, nor is there ever a gain or loss to recognize on the disposal of property and equipment during its estimated useful life.

(b) this schedule does not recognize prepaid expenses; rather, payments made in advance are shown as expenses of the reporting period.

(c) no accrual has been made for unpaid vacation time even though such time has vested; instead, the expense is recognized in the period the vacation time is actually used.

Expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Pass-through entity identifying numbers are presented where available.

3. INDIRECT COST RATE

Johnston-Lee-Harnett Community Action, Incorporated has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

4. OUTSTANDING LOANS AT JUNE 30, 2024

At June 30, 2024, there was an outstanding loan under the *United States Department of Agriculture Rural Development* for an amount of $1,262,104. Other than repayment of principal and interest, there was no continuing compliance requirement on this loan, and as such, is not reported on the Schedule.

5. SUBRECIPIENTS

Johnston-Lee-Harnett Community Action, Incorporated has not contracted or made awards to any subrecipients.